

SENATE BILL 32

By Bailey

AN ACT to amend Tennessee Code Annotated, Title 67,
Chapter 4, Part 20, relative to the deduction for
bonus depreciation for excise tax purposes.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 67-4-2006(a)(12), is amended by
deleting the subdivision and substituting instead:

(12)

(A) For assets purchased on or after January 1, 2023, and prior to
January 1, 2026, for purposes of computing "net earnings" or "net loss" under
this subsection (a), Section 168 of the Internal Revenue Code of 1986 (26 U.S.C.
§ 168), as amended, shall be applied as it exists and applies under the Tax Cuts
and Jobs Act of 2017, Pub. L. No. 115-97.

(B) For assets purchased on or after January 1, 2026, for purposes of
computing "net earnings" or "net loss" under this subsection (a), a taxpayer may
annually elect to deduct as an expense forty percent (40%) of the cost of the
depreciable assets in the tax year in which the assets are purchased.

(C) Notwithstanding subdivision (a)(12)(B), beginning on January 1,
2026, if the federal government elects to increase the bonus depreciation
percentage applicable to assets to a percentage above forty percent (40%) under
Section 168 of the Internal Revenue Code of 1986 (26 U.S.C. § 168), as
amended, then a taxpayer may elect to deduct as an expense the percentage
implemented by the federal government, and Section 168 of the Internal

Revenue Code of 1986 (26 U.S.C. § 168), as amended, shall be applied as it exists and applies under the Tax Cuts and Jobs Act of 2017, Pub. L. No. 115-97.

SECTION 2. This act takes effect upon becoming a law, the public welfare requiring it.